higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

NEW VENTURE CREATION
NQF LEVEL 4

(3011034)

22 November 2019 (X-Paper)
09:00–12:00

This question paper consists of 8 pages and 1 addendum.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Start each section on a NEW page.
5. Remove the ADDENDUM (attached) and hand it in with the ANSWER BOOK.
6. Use only BLUE or BLACK ink.
7. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 A … is a legally independent company with more than 500 employees.

A sole trader
B close cooperation
C private company
D Small Medium Enterprise

1.1.2 ... is/are examples of debt financing.

A Personal finances
B Friends and relatives
C Equity shares
D Bank overdraft

1.1.3 SETA stands for …

A Services Education Training Authority
B Skills Education Training Act
C Sector Education Training Authority
D Skills Education Training Authority

1.1.4 ... is an agreement that allows you to borrow or rent land and buildings or equipment from the owner for a certain period of time.

A Interest
B Leasing
C Loan
D Hire purchase

1.1.5 The expenses/costs incurred in the formation of a firm, and in advertising, promotional activities, employee training, etc. is called …

A pre-operating costs.
B fixed costs.
C total costs.
D variable costs.

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1.1.6 … is something pledged as security for repayment of a loan, to be forfeited in the event of a default.

A Liabilities
B Assets
C Collateral
D Owner's Equity

1.1.7 … is the action of doing something that is different from the usual or common way of behaving.

A Deviation
B Responsibility
C Contract
D Risking

1.1.8 … protects professional advice and service to provide individuals and companies from bearing the full cost when defending is needed.

A Professional image
B Professional indemnity
C Professional resources
D Professional status

1.1.9 The process of choosing the best or cheapest company to supply goods or do a job by asking several companies to make offers for supplying the goods or doing the work is called …

A limiting.
B competing.
C purchasing.
D tendering.

1.1.10 The … costing method is a method used by most businesses. It involves listing and totalling all costs.

A direct
B marginal
C indirect
D traditional

(10 × 2) **[20]**

TOTAL SECTION A: 20

SECTION B

Read the scenario below and answer the questions.



THE COBBLER

Jabulani Ngwene, a craftsman who proudly continues his grandfather's tradition of repairing shoes, works in a special corner in a new developing area of Hillcrest close to where Jabulani's grandfather opened his cobbler shop (shoe repair shop) more than 60 years ago a few meters away from his home. From the age of five, Jabulani used to watch and learn the trade from his grandfather. He is now teaching his children the trade.

In every corner of his tiny shop, the shelves are packed with well-worn shoes and boots of every size and description, each item wanting Jabulani's special touch and skill, to give them a new life.

A cobbler (shoemaker) is one of the oldest professions that involve repairing, restoring and improving shoes, boots, sandals, etc. Other items, such as fixing zips, belts, luggage, gloves, handbags and other leather products is common work for Jabulani.

[Adapted from: *Sunday Tribune KZN Business Report* 27 May 2018, page 4]

QUESTION 2

2.1 Identify FOUR products that Jabulani repairs. (4)

2.2 Explain THREE factors Jabulani took into consideration when selecting a suitable location for his business. (3 × 2) (6)

2.3 Give FOUR reasons why Jabulani needs to continually advertise his business. (4 × 2) (8)

2.4 Define the following terms:

2.4.1 Cash flow

2.4.2 Profit

(2 × 2) (4)

2.5 Provide full names for the following acronyms:

2.5.1 VAT

2.5.2 PAYE

2.5.3 UIF

2.5.4 SITE

(4 × 1) (4)

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2.6 Explain the following tax responsibilities to Jabulani.

2.6.1 VAT (2)

2.6.2 UIF (2)

[30]

QUESTION 3

3.1 Give THREE reasons why Jabulani should draw up cash flow statements for his business. (3 × 2) (6)

3.2 Advise Jabulani on how he can calculate his business break-even point by giving him a formula he can use as a guideline. (5)

3.3 Briefly describe FOUR factors that influence the repayable amount of a loan. (4 × 2) (8)

3.4 Differentiate between:

3.4.1 *Costing*

3.4.2 *Pricing*

(2 × 2) (4)

3.5 Describe FOUR disadvantages of short-term bank loans. (4 × 2) (8)

3.6 List FIVE expenses that form part of Jabulani's monthly operating costs. (5)

[36]

QUESTION 4

4.1 Explain FOUR purposes of the code of conduct Jabulani must take into consideration. (4 × 2) (8)

4.2 Explain the FOUR implications that codes of conduct and ethics have on an organisation. (4 × 2) (8)

4.3 A code of conduct is only valid when it is applied to all activities of the business.

Which THREE business activities should be covered by a company's code of conduct and be communicated to all employees? (3 × 2) (6)

4.4 Briefly explain THREE deviations from the code of conduct and/or ethical issues that could occur in relation to Jabulani's business. (3 × 2) (6)

[28]

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QUESTION 5

Jabulani's business is growing rapidly. He is now considering employing his three children who have learnt this trade from him. Jabulani feels that the children are ready to start working, since he has seen good results from the practical tasks he has given them.

5.1 Identify FOUR laws regulating risk management in general, which Jabulani must be aware of when operating his business. (4)

5.2 Provide FOUR examples in which the Labour Relations Act applies to Jabulani's sector. (4 × 2) (8)

5.3 One of the children whom Jabulani is considering employing is 15 years old. Advise Jabulani on how to manage this risk. (4)

5.4 Indicate FOUR actions that can be taken against Jabulani if he fails to comply with the given laws. (4 × 2) (8)

5.5 Briefly describe THREE ways in which the Occupational Health and Safety Act might affect a business. (3 × 2) (6)

5.6 Discuss TWO requirements of the Unemployment Insurance Act No. 63 of 2001 to which all businesses must adhere. (2 × 2) (4)

[34]

QUESTION 6

6.1 Discuss FOUR external factors Jabulani must consider, which have an impact on the pricing decisions of a business. (4 × 2) (8)

6.2 Identify FOUR limitations that Jabulani must consider, which can negatively influence his business. (4 × 2) (8)

6.3 Draw a break-even graph showing the following:

- Fixed costs
- Variable costs
- Total costs
- Income from sales
- Profit
- Break-even point (6 × 2) (12)

6.4 Describe FOUR factors to consider when searching for new suppliers in terms of the contribution they can make to Jabulani's business. (4 × 2) (8)

6.5 Identify FOUR ways that Jabulani can use to search for suppliers. (4)

6.6 Use the following information to prepare the Income and Expenditure Statement for Jabulani for January 2020. Use the ADDENDUM (attached) and fill in the correct amount/s where there are question marks (?).

Sales for the month	R40 000	
Cost of Sales	R12 000	
EXPENSES		
Salaries	R10 000	
Administration Fees	R3000	
Marketing and Advertising	R1000	
Insurance	R500	
Rent	R750	
Electricity	R500	(12)
		[52]

TOTAL SECTION B: 180
GRAND TOTAL: 200

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QUESTION 6.6

ADDENDUM

INCOME AND EXPENDITURE STATEMENT OF JABULANI FOR THE MONTH END JANUARY 2020		
SALES		**?**
LESS COST OF SALES		**?**
GROSS PROFIT		**?**
LESS EXPENSES		**?**
SALARIES	**?**	
ADMINISTRATION FEES	**?**	
MARKETING AND ADVERTISING	**?**	
INSURANCE	**?**	
RENT	**?**	
ELECTRICITY	**?**	
NET PROFIT		**?**

[12]

REMOVE THIS ADDENDUM AND HAND IT IN WITH THE ANSWER BOOK.

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